

Macro Rate Radar — European Central Bank

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Simple monetary-policy rules — the Taylor-rule family relating the policy rate to inflation and the output gap — evaluated on current public data (inflation 2.50% vs a 2.00% objective, $r^* -0.01\%$, output gap +1.00pp), and set against the meeting path the futures strip currently prices. The median of the five rules sits at **2.74%**, 49bp above the current policy setting of 2.25%, with 127bp of dispersion across rules. Taken to the July 2027 meeting, the rule path implies 39bp more tightening than the futures strip currently prices — a divergence that may be worth a closer look. Note: NAIRU is an assumption for this bloc rather than a published estimate; the prescription moves with it.

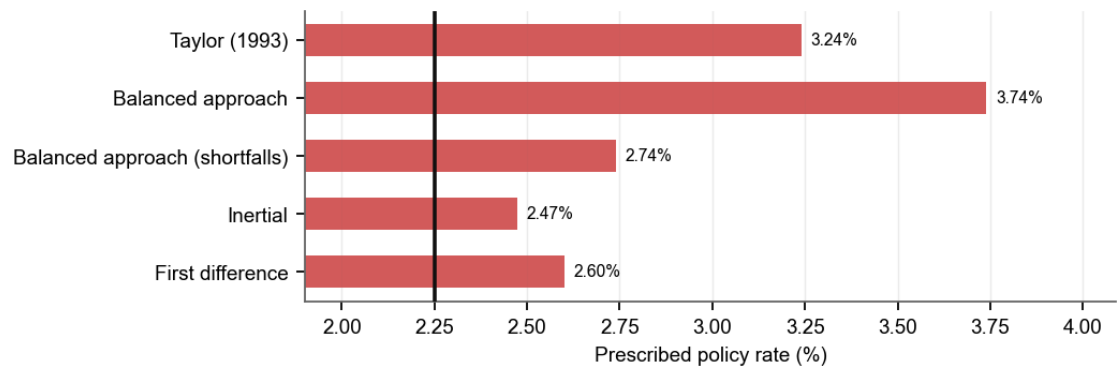
POLICY RATE
2.25%
current setting

MEDIAN RULE
2.74%
+49 bp vs policy

RULE DISPERSION
127 bp
highest minus lowest

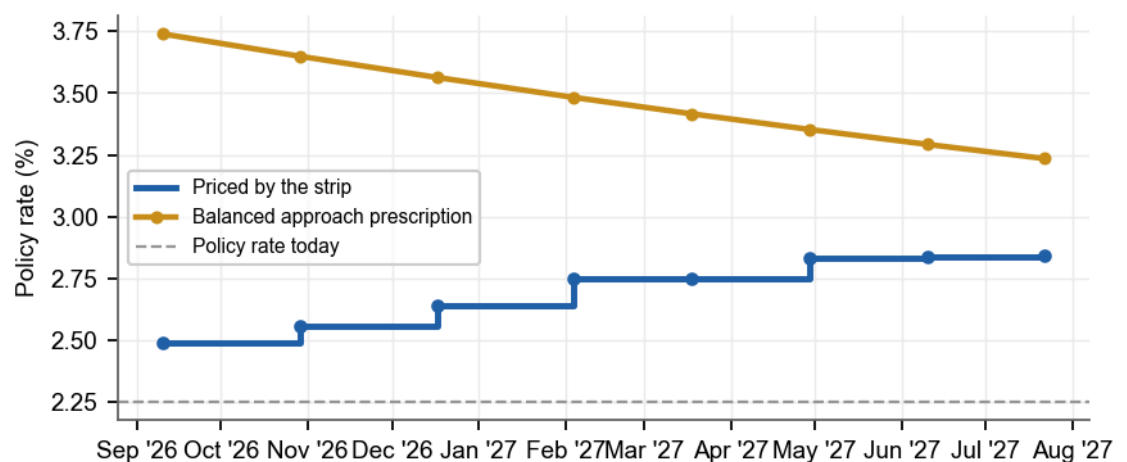
VS THE STRIP
+39 bp
prescribed – priced,
furthest meeting

THE FIVE RULES — PRESCRIPTION VS THE CURRENT SETTING



Rule	Prescribes	vs policy (bp)	Working
Taylor (1993)	3.24%	+99	$-0.01 + 2.50 + 0.5 \times (2.50 - 2.00) + 1.0 \times (+0.50) = 3.24\%$
Balanced approach	3.74%	+149	$-0.01 + 2.50 + 0.5 \times (2.50 - 2.00) + 2.0 \times (+0.50) = 3.74\%$
Balanced approach (shortfalls)	2.74%	+49	$-0.01 + 2.50 + 0.5 \times (2.50 - 2.00) + 2.0 \times \min(+0.50, 0) = 2.74\%$
Inertial	2.47%	+22	$0.85 \times 2.25 + 0.15 \times 3.74 = 2.47\%$
First difference	2.60%	+35	$2.25 + 0.5 \times (2.50 - 2.00) + (+0.50 - +0.40) = 2.60\%$

PRESCRIBED VS PRICED — RULE PATH AGAINST THE FUTURES STRIP



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Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
10 Sep 2026	2.491	+24.1	3.74	+125
29 Oct 2026	2.559	+30.9	3.65	+109
17 Dec 2026	2.639	+38.9	3.56	+92
04 Feb 2027	2.747	+49.7	3.48	+74
18 Mar 2027	2.748	+49.8	3.42	+67
29 Apr 2027	2.832	+58.2	3.35	+52
10 Jun 2027	2.839	+58.9	3.29	+45
22 Jul 2027	2.840	+59.0	3.24	+39

Market path from the exchange settlement strip (2026-08-14), inverted into a per-meeting step path. A positive spread means the rules point to a higher policy rate than the curve has priced at that meeting; a negative spread the reverse.

DATA SOURCES

inflation	Eurostat · Euro-area HICP — core (y/y %) (2026-07-01)
policy rate	ECB Data Portal · ECB deposit facility rate (2026-08-15)
unemployment	ECB Data Portal · Euro-area unemployment rate (2026-06-01)
r*	NY Fed (Holston-Laubach-Williams) · Natural rate r* (HLW) — EA (2026-01-01)
NAIRU	assumed 6.80% — not published for this bloc

Policy rules are illustrative benchmarks, not forecasts: no central bank follows one mechanically, and prescriptions are sensitive to unobservable inputs (the neutral rate, the output gap) that are estimated or assumed. All data from public sources — FRED/ALFRED, Eurostat, the ECB Data Portal, the Bank of England, the ONS, and Federal Reserve banks. For information purposes only; not investment advice or a recommendation to transact.

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